NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Video Conference)

PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL

ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 16.11.2021 AT 10.30 AM

TRANSFER PETITION NO.	
COMPANY PETITION/APPLICATION NO.	CP(CAA) No.3/230/AMR/2021
NAME OF THE COMPANY	Navayuga Engineering Company Ltd (Transferee Co.)
NAME OF THE PETITIONER(S)	Navaneeta Agritech Pvt Ltd (Transferor Co.1) & Navaneeta Agriculture Development Company Pvt Ltd (Transferor Co.1) & Navayuga Engineering Company Ltd (Transferee Co.)
NAME OF THE RESPONDENT(S)	
UNDER SECTION	230

Counsel for Petitioner(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

Counsel for Respondent(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

ORDER

CP(CAA) No.3/230/AMR/2021 is allowed and disposed of, vide separate orders.

JUSTICE TELAPROLUY RAJANI
MEMBER JUDICIAL

IN THE NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
HYDERABAD

CP (CAA) No. 3/230/AMR/2021
Connected with CA(CAA)No.3/230/AMR/2021

Petition under Section 23(1)(b) Read with Section 232 of the Companies Act, 2013, Read with Rule 15 (1) of Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 and Rule 23A of the National Company Law Tribunal Rules, 2016

1. M/s. Navaneeta Agritech Private Limited
Registered office at D.No.48-9-17,
Dwaraka Nagar, Visakhapatnam,
Andhra Pradesh - 530016.
... Petitioner/Transferor Company -1

2. M/s.Navaneeta Agriculture Development Company Private Limited,
Registered office at D.No. 48-9-17,
Dwaraka Nagar, Visakhapatnam,
Andhra Pradesh - 530016
... Petitioner/Transferor Company -2

3. M/s.Navayuga Engineering Company Limited,
Registered office at D.No. 48-9-17,
Dwaraka Nagar, Visakhapatnam,
Andhra Pradesh - 530016.
... Petitioner/Transferee Company

Date of Order: 16.11.2021

CORAM

Justice Telaprolu Rajani, Member Judicial

Appearance:

1. Mr. Vivek Ganesh, Advocate for the Petitioner Companies.
2. Mr. Atchuta Ramaiah, JD for Regional Director (SER), MCA Hyderabad.

ORDER

1. This Petition is filed by the Petitioner Companies i.e., M/s.Navaneeta Agritech Private Limited (Transferor Company-1), M/s. Navaneeta Agriculture Development Company Private Limited (Transferor Company-2) and M/s. Navayuga Engineering Company Limited (Transferee Company) jointly under Section 23(1)(b) Read with Section 232 of the Companies Act, 2013, Read with Rule 15 (1) of Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 and Rule 23A of the National Company Law Tribunal Rules, 2016 seeking for sanction of the arrangement filed on behalf of the Petitioner Companies.

2. The Scheme of Arrangement was proposed between the Petitioner Companies and their respective Shareholders from the Appointed Date as 01.04.2020 for the Arrangement.

3. The Transferor Company -1 was incorporated under the Companies Act, 1956 on 21.03.2007 in the erstwhile State of Andhra Pradesh and has its registered office at Visakhapatnam. It is engaged in the business of acquiring by way of purchase or lease, developing and selling or leasing of property and has investment property in the form of land of Rs.1,41,18,210/- as on 31.03.2020 and has total assets of Rs.4,51,84,030/- as on 31.03.2020. The authorised capital is Rs.5,00,000/- divided into 50,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up capital is Rs.1,00,000/- consisting of 10,000 equity shares of Rs.10/- each.

4. The main objects of the Transferor Company-1 is to acquire properties by purchase or on lease or on contract for development or and to develop the same in or use the same for any or all kinds of

farming including agriculture, horticulture, all kinds of farming including commercial farming, etc.

5. The Transferor Company -2 was incorporated under the Companies Act, 1956 on 16.03.2007 in the erstwhile State of Andhra Pradesh and has its registered office at Visakhapatnam. It has assets aggregating to Rs.3,21,02,625/- as on 31.03.2020 which includes investment property in the form of land of Rs.1,24,92,685/- and investment in equity instruments of other entities of Rs.1,78,87,500/-. The authorised capital is Rs.5,00,000/- divided into 50,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up capital is Rs.1,00,000/- consisting of 10,000 equity shares of Rs.10/- each. The main objects of the Transferor Company -2 are also the same as that of the Transferor Company-1.

6. The Transferee Company was incorporated under the Companies Act, 1956 on 06.11.1986 and was converted into a Public Company on 01.07.1993 and is an unlisted Public Company within the meaning of Section 2 (71) of the Companies Act, 2013 and its registered office at Visakhapatnam. The authorised capital is Rs.40,50,00,000/- divided into 4,05,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up capital is Rs.40,04,80,770/- consisting of 4,00,48,077 equity shares of Rs.10/- each.

7. The main objects of the Transferee Company is to acquire the business carried on by M/s.Navayuga Construction Co., having its office at Vizag with all its assets and to carry on the business of under taking of all types of Civil, Electrical and Mechanical works with the State and Central Governments, Corporations, etc. and to enter into any contracts and agreements with Central or State Governments Public or Non-public undertakings, to construct,

execute, undertake, etc., any hotels, clubs, tanks, schools, hospitals, bars, place of worship, amusement, etc., to carry on the business of construction, builders, contractors, etc., including but not limited to designers, developers, dealers, etc.

8. The Scheme is made in accordance with the provisions of the Scheme and /or the directions of the Tribunal. It shall be effective from the appointed date. All the assets and properties of the Transferor Companies shall, pursuant to the Scheme, would be transferred to Transferee Company and shall vest in the Transferee Company from the appointed date. All debts, outstanding and receivables, whether recoverable in cash or in kind, shall be transferred to the Transferee Company. All the debts, liabilities, taxes, duties and obligations of every kind shall be transferred to Transferee Company with effect from the appointed date, and all suits, actions and other legal proceedings by or against any of the Transferor Companies under any statute or otherwise, whether pending or arising, before the appointed date shall be continued and enforced by or against the Transferee Company. All permanent employees, if any, of the Transferor Companies as on effective date shall from such date, become employees of the Transferee Company in accordance with Clause-7 of the Scheme.

9. The Transferee Company has by a resolution passed at an Extra Ordinary General Meeting held on 30.04.2021 increased its authorised share capital by Rs.9,50,00,000/- to Rs.50,00,00,000/- comprising of 5,00,00,000 equity shares of Rs.10/- each.

10. There are Four (4) equity shareholders in the Transferor Company-1 and Transferor Company -2 each and Three Hundred and Eighty Three (383) equity shareholders in the Transferee Company.

11. The Scheme does not contemplate any compromise or arrangement with the creditors of the Petitioner Companies under Section 230 (1) (a) of the Companies Act, 2013. The Transferor Companies has no secured creditors and there are only 2 (two) unsecured creditors, including trade creditors and having an outstanding debt of Rs.35,400/-.

12. All the equity shareholders of the Transferor Company-1 and Transferor Company -2 have given their consent affidavits approving the proposed scheme.

13. By an order dated 30.04.2021, this Tribunal directed the Transferee Company to convene a meeting of its equity shareholders, secured creditors and unsecured creditors for the purpose of approving the scheme. One Mr.Ch.Srinivasulu (Advocate) was appointed as Chairperson for the said meeting. The meeting was convened after due formalities on 30.04.2021. One Mr.Ramana VJV (Advocate) acted as the Scrutiniser, the scheme was approved by all the 11 shareholders who attended that meeting and holding 95.71% in the total paid-up capital of the Transferee Company. Meetings of the Secured Creditors of the Transferee Company was convened on the same date and a poll by ballot paper was conducted by the Chairperson in the presence of two independent witnesses.

14. The meeting of the unsecured creditors of the Transferee Company was held on 18.06.2021. The scheme was approved by a majority constituting 251 unsecured creditors. The assets of the Transferee Company are sufficient to meet all the liabilities of the Petitioner Companies after the Arrangement.

15. The audited financial statements for the financial year ending by 31.03.2020 and unaudited financial statements as on 31.12.2020 are annexed to the Petition.

16. The Statutory Auditors reports dated 19.02.2021 of the Transferor Companies and Transferee Company have confirmed that the accounting treatment proposed in the Scheme of Arrangement is in conformity with the accounting standards prescribed under Section 133 of the Companies Act, 2013.

17. The Scheme will benefit the respective Petitioner Companies and their shareholders. It would facilitate focused strategic leadership and top management and reduce the number of legal entities in the group thereby reducing managerial overlaps which are necessarily involved in running multiple entities.

18. The notice were served on the Regional Director, South Eastern Region (SER), the Registrar of Companies, Andhra Pradesh, the Official Liquidator and Income Tax Authorities i.e., Assessing Officer of Income Tax, Visakhapatnam and Hyderabad.

19. The Official Liquidator did not raise any objection in his final report and sought this Tribunal to pass order on merits. In his first report, the Official Liquidator made an observation that the Petitioner Companies are loss making companies and are getting merged in profit making Transferee Company. Hence, the Income Tax implication due to merger needs to be examined by the Income Tax Department. But however, the Income Tax Department did not raise any objections with regard to the scheme of Arrangement. It also can be understood that the income tax liabilities if any would be fulfilled by the Transferee Company.

20. The Regional Director filed his report making certain observations. He was also present for the hearing. He submitted that except the 6th Observation made in his report, the other observations need not be considered, since undertaking was given by the Petitioner Companies with regard to the said observations. With regard to the 6th observation he submits that there are 8 cases pending against the Transferor Companies under Section 9 of IBC, 2016 by the Operational Creditors and hence their interest need to be safeguarded. In answer to the said contention the Counsel for the Petitioner Companies submits that they have, in their affidavit, mentioned that with regard to the observation 6 of the report of the Regional Director (RD), the claims made by the Operational Creditors of the Transferee Company shall have no impact on the Scheme of Arrangement, with respect to the Transferee Company, as a Transferee Company shall continue to exist as the surviving entity in the process of Arrangement of the Transferor Companies and shall continue to be responsible for the debts of its Creditors. He also submits that in respect of none of the pending cases referred by the RD, the Transferee Company has been admitted as a Corporate Debtor as they pertain to disputed claims, and in some of the cases settlement of the disputes and filing joint memo of settlement is under process. As per the affidavit, it can be seen that the Transferee Company it is ready to take the responsibility for the debts of its creditors, including the Operational Creditors. Hence, the said objection shall not come as a hurdle for approving the Scheme of Arrangement.

ORDER

The Petition be and the same is allowed with the following directions:-

a) The Scheme of Arrangement (in page No.38-69 of the Petition) with appointed date as 01.04.2020 is hereby sanctioned. The same shall be binding on the Petitioners and their respective Shareholders, Secured Creditors, Unsecured Creditors/Trade Creditors, Employees and all concerned.

b) This order shall not be construed as an order granting exemption from payment of stamp duty or taxes or any other charges and fees if payable, or from any applicable permissions that may have to be obtained or compliances that may have to be made under law.

c) All concerned shall act on a copy of this order along with the Scheme duly authenticated by the Registrar of this Tribunal. The Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme forthwith.

d) The Petitioner Companies are directed to take appropriate steps to submit the said Scheme to Registrar of Companies within 30 days from the date of receipt of copy of this order.

e) The debts of the Operational Creditors in the pending cases shall be discharged in accordance with the order of the Tribunal before which the cases are pending.

f) The Petitioner Companies are directed to issue newspaper publication with respect to approval of the Scheme of Arrangement, in the same newspapers in which previous publications were issued.

g) The Petitioner Companies are further directed to take all consequential and statutory steps required in pursuance of the approved Scheme of Arrangement under the provisions of the Companies Act, 2013 and submit necessary compliance and undertaking relating to the objections raised by the Official Liquidator and the Regional Director (SER), MCA, GoI, Hyderabad.

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

Swamy Naidu